



UMEME
Powering Uganda

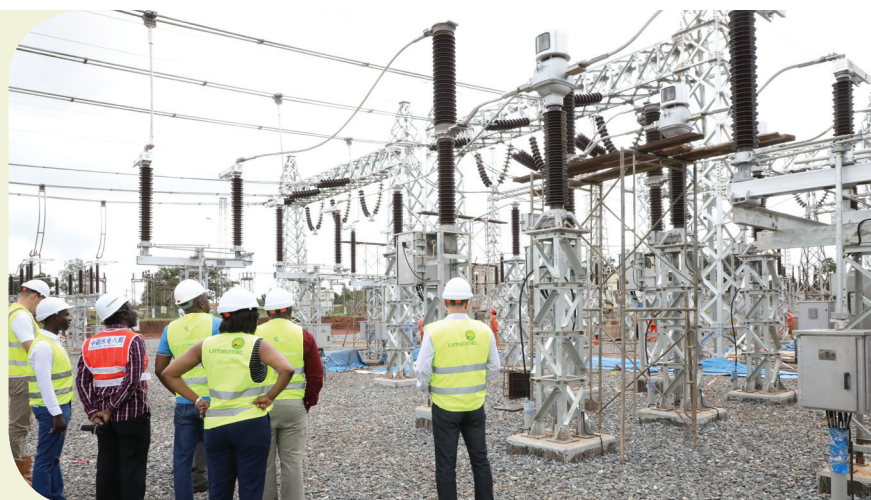
Umeme Limited

2019 Financial Results

Overview

The Directors of Umeme Limited are pleased to announce the audited financial results for the year ended 31 December 2019.

New six year tariff parameters were negotiated during the year. The implementation of the initial performance parameters, as determined by the Electricity Regulatory Authority, adversely impacted the Company's financial performance, particularly in the second and third quarters of the year. Subsequent revision of the parameters, to levels more conducive to achieving higher standards of service to customers, lessened the impact on the overall results for the year.



Our performance at a glance

Electricity Sales

3,183 GWh



Energy Losses

Decrease in energy losses



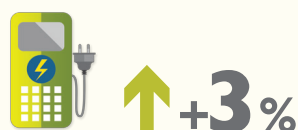
Number of Customers

1.5 million Customers



Electricity Sales (Bills)

Ushs 1.7 Trillion



Payments to UETCL

Ushs 1.2 Trillion
(Power purchases)



Taxes Paid to URA

Ushs 103 billion



EBITDA

Ushs 376 billion



Net Cash flow from Operations

Ushs 194 billion



Dividend Paid in the Year

Ushs 66 billion



the electricity distribution network, were 18. The root causes include hooking on the network, power theft, vandalism of the distribution network infrastructure and poor in house wiring. Whilst this is a lower number of fatalities than in the previous year, attributable, at least in part, to our on-going sensitization of the public, we urge the public to remain vigilant and proactively report any safety-related incidents through any of our communications channels in our continued effort to eliminate this loss of, or injury, to life.



Growth of Electricity Supply Industry

Uganda's installed generation capacity increased by 15% to 1,134 MW from 984 MW mainly as a result of the commissioning of Isimba HPP Dam (183 MW). The peak system demand increased from 645.4 MW at the end of 2018 to 723.76 MW as of 31 December 2019.

Our electricity sales (GWh) increased by 6% to 3,183 GWh from 3,011 GWh in 2018. The industrial segment recorded an average growth of 7% in 2019. The growth was in tandem with the general regional economic conditions and deliberate government strategy to further industrial growth.

During the year, we invested Ushs 104 billion in the distribution network, for projects related to growth, supply reliability and loss reduction; and Ushs 185 billion in last-mile connections (under a GoU access program) bringing the total capital investment for 2019 to Ushs 289 billion compared to Ushs 230 billion in 2018. The investments in last-mile connections are recoverable through the tariff during the normal business cycle.

We are satisfied with the approval, so far, granted by the Electricity Regulatory Authority of network investment projects of Ushs 310 billion for 2020. Some of the projects, designed to provide stable and reliable power to a growing number of customers, to be implemented include;

- Ntinda Substation reconfiguration,
- Gulu Substation reconfiguration,
- Conversion of remaining postpaid customers to prepayment metering,
- Siti 2 HPP integration lines,
- Mbale Industrial Park substation development,
- Karuma Evacuation lines construction



Regulatory Updates

As communicated in December 2019, the Company concluded the renegotiation of the 6-year tariff parameters. The tariff parameters agreed, and published, are applicable until the end of the current Concession, 28 February 2025.



Operational Performance

We continue to improve the reach, reliability and robustness of Uganda's electricity distribution system. The following were achieved during the year:

- **Customers connected** to the electricity grid within the Umeme footprint increased by 14% to 1.47 million. Of these 178,152 were financed by the Government and development partners under the Electricity Connections Policy.
- Whereas we reported **energy losses of 16.9% at half year, we further reduced losses to 15.9%** in the second half leading to an annual average of 16.4%. The marginal reduction of 0.2% in the annual average compared to 2018 is attributed to the delayed approvals of investments in technical loss reduction projects, and limited operational resources, provided by the regulator through the tariff parameter determination. With

the revised parameters agreed later in the year the ability to address losses is now significantly improved and is being realized in the early stages of 2020.

- The **revenue collection** rate for the year was 99.7% on account of improved service and multiple bill payment options that provide convenience to our customers. The improved collection rate results from several initiatives, not least the continued roll-out of pre-paid meters.
- The **operational costs per customer reduced by 13%** to Ushs 146,505 compared to Ushs 169,464 in 2018. We continue to optimize operating costs through leveraging technology and business process improvements.
- **Safety:** With regret, we note the number of fatal accidents resulting from both accidental contact and illegal interference with



UmemeLtd



UmemeLtd

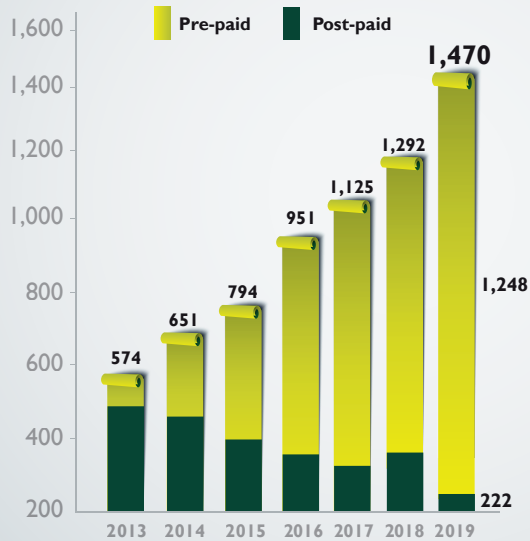


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Customer Numbers



We are glad with the approval, so far, granted by the Electricity Regulatory Authority of network investment projects of US\$ 310 billion for 2020 to improve supply reliability, quality of electricity supplied to our customers and reduce technical losses

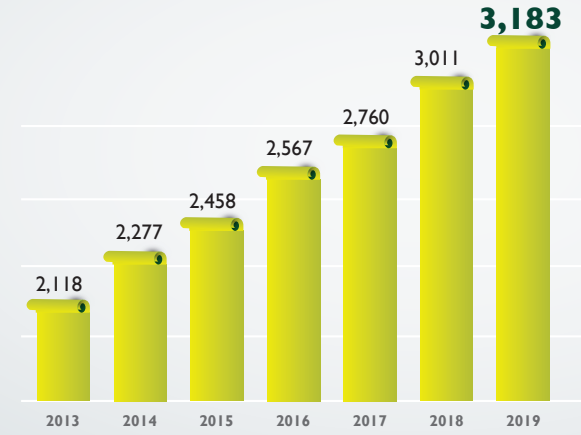


Financial Performance

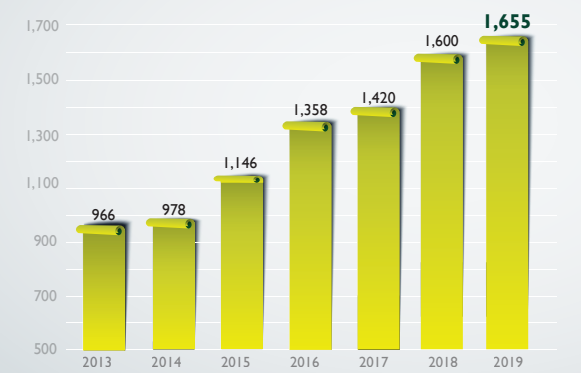
We continue to deliver strong results.

- **Revenue increased** by 19% to US\$ 1,777 billion in 2019 compared to US\$ 1,493 billion in 2018, with underlying electricity sales growth of 6%.
- Through our continuous drive for efficiency, increased use of technology and growth in the customer base, **the operating cost per customer reduced** by 14% to US\$ 146,505 from US\$ 169,464 in 2018. The overall distribution, operation and maintenance costs in 2019 reduced by 2% compared to 2018.
- **Earnings Before Interest, Taxation, Depreciation and Amortization (EBITDA)** grew by 6% to US\$ 376 billion in 2019. Profit after Tax increased by 4.5%, to US\$ 139 billion from US\$ 133 billion in 2018.
- **Total assets** as of 31 December 2019 were US\$ 2,542 billion compared to US\$ 2,344 billion in 2018, an increase of 8.4%. Shareholder Equity increased by 7.8%, from US\$ 774 billion in 2018 to US\$ 834 billion in 2019.
- **Net cash flows generated from operating activities** decreased to US\$ 194 billion from US\$ 395 billion in 2018 mainly due to delayed receivables due from the Rural Electrification Agency (REA) for the connections implemented under the Electricity Connections Policy. The cash flows were utilized to fund investments in the network and financing commitments of the business.

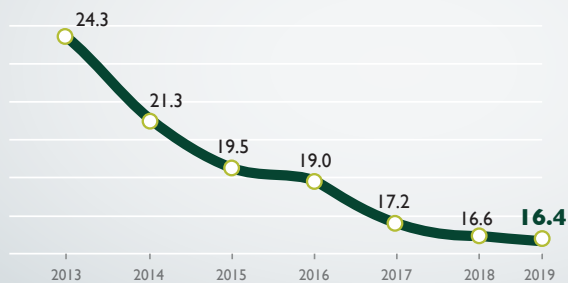
Energy Sales (GWh)



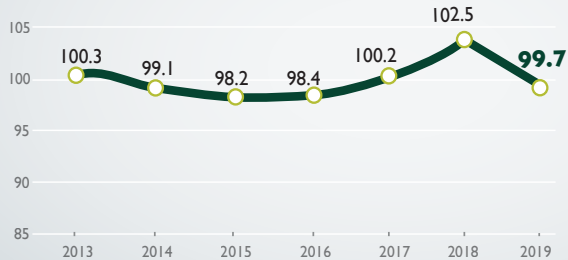
Electricity Sales (Ushs Millions)



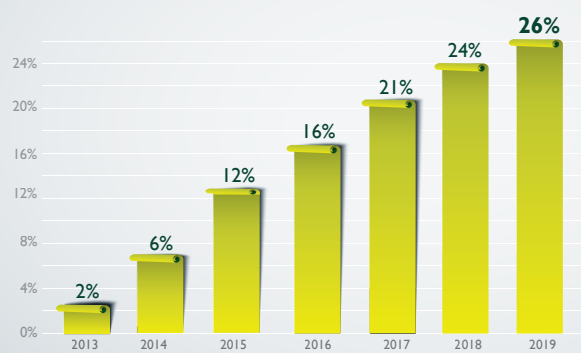
Energy Losses (%)



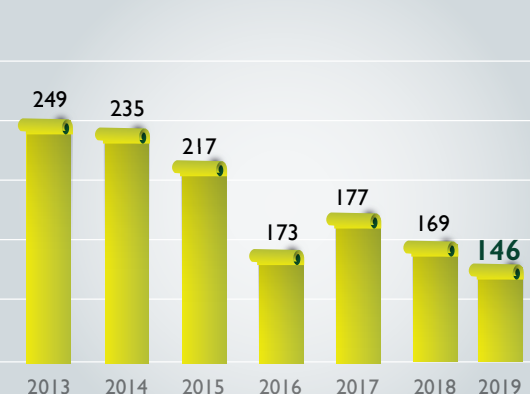
Revenue Collections (%)



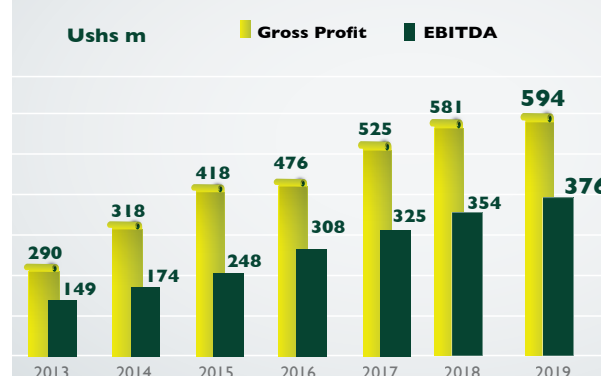
Revenues From Prepaid Sales (%)



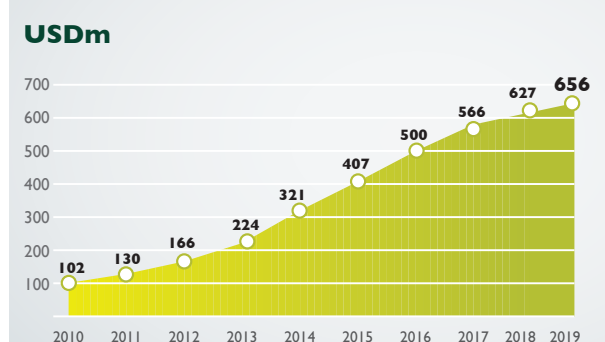
Operating Costs per Customer (Ushs'000)



Profitability (Gross Profit & EBITDA)



Investment in Distribution Network



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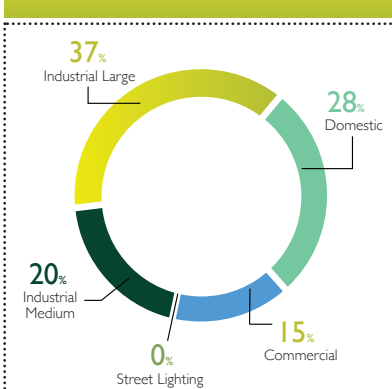
We continue to align our operations to the **4 key priorities** of the country; **increasing grid connections, increasing demand, reliability of supply** and **driving efficiencies**.

”

Electricity Sales (Ushs billion)

Customer Category	2019	2018	Growth	% Share
Domestic	461	428	8%	28%
Commercial	248	251	-1%	15%
Street Lighting	1	1	0%	0%
Industrial - Medium	339	329	3%	20%
Industrial - Large	359	331	9%	22%
Industrial - Extra Large	247	260	-5%	15%
	1,655	1,600	3%	100.0%

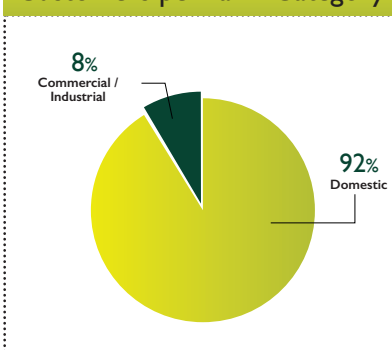
Sales Distribution



Customer Numbers

Customer Category	2019	2018	Growth
Domestic	1,353,524	1,177,964	15%
Commercial	111,734	110,449	1%
Street Lighting	250	250	0%
Industrial - Medium	2,604	2,606	-0.1%
Industrial - Large	502	502	0%
Industrial - Extra Large	40	40	0%
	1,468,654	1,291,811	14%

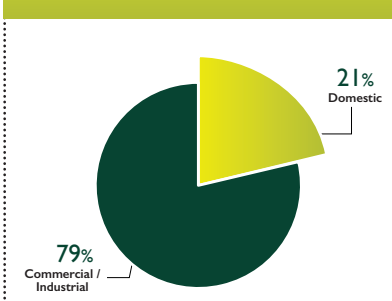
Customers per Tariff Category



Electricity Sales (GWh)

Customer Category	2019	2018	Growth (y/y)
Domestic	667.4	640.4	4%
Commercial	365.1	366.9	-0.5%
Street Lighting	1.3	1.1	18%
Industrial - Medium	500.0	477.2	5%
Industrial - Large	889.0	793.2	12%
Industrial - Extra Large	759.3	732.2	4%
	3,182	3,011.0	6%

Electricity Sales (GWh) per Tariff Category



Subject to the approval of the shareholders, the directors recommend to members that a final dividend of Ushs 41.3 per ordinary share be paid for the year ended 31 December 2019 (2018: Ushs 40.9), subject to withholding tax deductions, where applicable, to shareholders registered in the books of the Company at close of business on 22 June 2020. If approved, the outstanding dividend will be paid on or about 17 July 2020.

In these discussions, Umeme will amongst other matters indicate how it proposes to meet the national goals and thereby the needs of all consumers.

Directors and Management have taken early action aimed at mitigating the impacts of the global Covid-19 pandemic. The impacts of the virus are uncertain but the Company will continue to monitor and take action as necessary. Contingency plans are in place and will be modified as appropriate to maintain service to customers and safe guard our staff and assets.

I take this opportunity to thank our customers and all stakeholders for the support and enablement of Umeme's business operations. We look forward to continued collaboration to achieve the Company, sector and country objectives.

On behalf of the Board



Patrick Bitature
Chairman Board of Directors
Umeme Limited
20 March 2020



We continue to align our operations to the four key priorities of the country; increasing grid connections, increasing demand, reliability of supply and driving efficiencies.

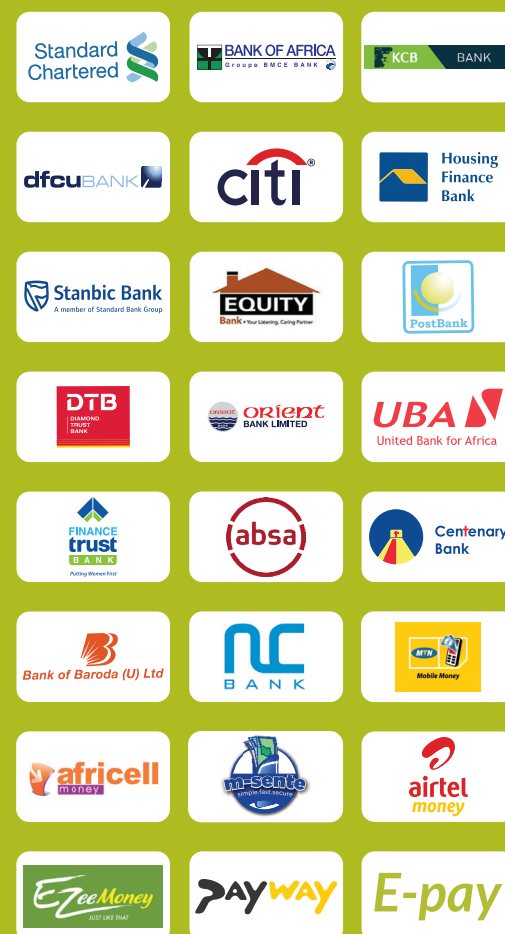
We are following Government's advice and will update our Stakeholders as appropriate.

The Government has indicated informally that negotiations for the renewal of the Concession Agreement may commence.



Making it easier to pay your electricity bills

AVAILABLE PAYMENT OPTIONS



Pay when and how you want, using any of our registered partners 24/7.

Extract of the audited results for the year ended 31 December 2019

STATEMENT OF PROFIT OR LOSS

	2019 Ushs million	2018 Ushs million Restated ¹
Revenue from contracts with customers	1,776,597	1,493,232
Cost of sales	(1,182,497)	(912,034)
GROSS PROFIT	594,100	581,198
Repair and maintenance expenses	(30,911)	(45,693)
Administration expenses	(182,982)	(173,255)
Foreign exchange losses	(7,782)	(6,076)
Other expenses	-	(1,791)
Increase in expected credit losses	(3,860)	(6,686)
PROFIT BEFORE AMORTISATION, IMPAIRMENT, INTEREST AND TAX	368,565	347,697
Amortisation and write off of intangible assets	(122,994)	(103,941)
OPERATING PROFIT	245,571	243,756
Finance income	17,639	17,289
Finance costs	(58,853)	(65,960)
PROFIT BEFORE TAX	204,357	195,085
Income tax expense	(65,205)	(62,270)
PROFIT FOR THE YEAR	139,152	132,815
	2019 Ushs	2018 Ushs
BASIC AND DILUTED EARNINGS PER SHARE	86	82

STATEMENT OF COMPREHENSIVE INCOME

	2019 Ushs million	2018 Ushs million Restated ¹
Profit for the year	139,152	132,815
Other comprehensive income		
Other comprehensive income that may be reclassified to profit or loss in subsequent periods (net of tax):		
Differences on translation from functional currency to presentation currency	(13,052)	12,429
Total comprehensive income for the year, net of tax	126,100	145,244

CASH FLOW STATEMENT

	2019 Ushs million	2018 Ushs million Restated ¹
Cash flows before working capital changes	373,018	361,344
<i>Changes in working capital items:</i>		
Increase in inventories	(5,121)	(6,167)
(Increase)/decrease in contract assets	(78,471)	5,717
(Increase)/decrease in trade and other receivables	(20,465)	107,052
Increase in prepayments	(39,157)	(16,974)
Increase in contract liabilities	50,732	49,595
(Decrease)/increase in accrued expenses	(14,457)	4,758
Increase/(decrease) in trade and other payables	37,858	(21,541)
Cash generated from operating activities	303,937	483,784
Interest received from banks	330	314
Current income tax paid	(38,829)	(33,081)
Long and short term borrowings interest paid	(47,197)	(47,819)
Other financing costs paid	(9,330)	(6,062)
Borrowings transaction costs paid	(8,769)	(1,853)
Long term incentive plan payment	(5,993)	-
Net cash flows from operating activities	194,149	395,283
Investing activities		
Investment in the distribution network	(104,817)	(230,600)
Proceeds from sale of intangible assets	134	-
Net cash flows used in investing activities	(104,683)	(230,600)
Financing activities		
Dividend paid	(66,416)	(12,341)
Repayment of principal for long term borrowing facilities	(127,376)	(131,158)
Repayment of principal for short term borrowing facilities	(104,500)	(128,650)
Proceeds from term borrowing facilities	186,613	-
Proceeds from short term borrowing facilities	91,150	109,250
Net cash flows used in financing activities	(20,529)	(162,899)
Net increase in cash and cash equivalents	68,937	1,784
Cash and cash equivalents at 1 January	(18,712)	(22,240)
Translation differences	2,139	1,744
Cash and cash equivalents at 31 December	52,364	(18,712)

BALANCE SHEET

	31 Dec 2019 Ushs million	31 Dec 2018 Ushs million Restated ¹	1 Jan 2018 Ushs million Restated ¹
ASSETS			
Non-current assets			
Intangible assets	808,631	1,011,730	1,023,798
Other financial asset	855,497	679,017	499,770
Concession financial asset	327,570	327,074	314,857
	1,991,698	2,017,821	1,838,425
Current assets			
Inventories	69,778	64,657	58,490
Contract assets	85,215	6,744	12,461
Current income tax recoverable	11,077	4,680	-
Trade and other receivables	216,309	199,704	317,392
Prepayments	68,501	29,344	12,370
Bank balances	99,196	21,208	22,044
	550,076	326,337	422,757
TOTAL ASSETS	2,541,774	2,344,158	2,261,182
EQUITY AND LIABILITIES			
Equity			
Issued capital	27,748	27,748	27,748
Share premium	70,292	70,292	70,292
Retained earnings	546,030	473,294	355,981
Translation reserve	189,450	202,502	190,073
	833,520	773,836	644,094
Non-current liabilities			
Borrowings: Non-current portion	428,457	343,200	460,960
Concession obligation	327,570	327,074	314,857
Long term incentive plan	866	-	-
Deferred tax liability	195,455	162,682	120,757
	952,348	832,956	896,574
Current liabilities			
Borrowings: Current portion	128,477	185,335	198,656
Customer security deposits	492	791	615
Contract liabilities	138,095	87,363	37,768
Long term incentive plan	-	6,965	-
Accrued expenses	15,704	30,161	25,088
Provisions	1,318	-	-
Trade and other payables	425,480	387,622	409,164
Current income tax payable	-	-	5,554
Bank overdrafts	46,340	39,129	43,669
	755,906	737,366	720,514
TOTAL EQUITY AND LIABILITIES	2,541,774	2,344,158	2,261,182

STATEMENT OF CHANGES IN EQUITY

	Issued capital Ushs million	Share premium Ushs million	Retained earnings Ushs million Restated ¹	Translation reserve Ushs million Restated ¹	Total equity Ushs million Restated ¹
At 1 January 2018	27,748	70,292	369,658	149,971	617,669
Prior year adjustment	-	-	(13,677)	40,102	26,425
At 1 January 2018 – Restated before IFRS 9 impact	27,748	70,292	355,981	190,073	644,094
Impact of initial application of IFRS 9 (net of tax)	-	-	(3,161)	-	(3,161)
At 1 January 2018 – Restated	27,748	70,292	352,820	190,073	640,933
Profit for the year	-	-	132,815	-	132,815
Other comprehensive income, net of tax	-	-	-	12,429	12,429
Total comprehensive income for the year, net of tax	-	-	132,815	12,429	145,244
Dividend paid - 2017 final dividend	-	-	(12,341)	-	(12,341)
At 31 December 2018	27,748	70,292	473,294	202,502	773,836
At 1 January 2019	27,748	70,292	473,294	202,502	773,836
Profit for the year	-	-	139,152	-	139,152
Other comprehensive income, net of tax	-	-	-	(13,052)	(13,052)
Total comprehensive income for the year, net of tax	-	-	139,152	(13,052)	126,100
Dividend paid – 2018 interim dividend	-	-	(20,623)	-	(20,623)
Dividend paid - 2018 final dividend	-	-	(45,793)	-	(45,793)
At 31 December 2019	27,748	70,292	546,030	189,450	833,520

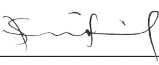
¹Certain amounts shown here do not correspond to the 2018 financial statements and reflect adjustments made as disclosed in the full financial Statements.

Message from the Directors

The above financial statements are extracts from the Company's financial statements which were audited by Ernst & Young Certified Public Accountants, who issued an unqualified opinion. A copy of the full financial statements can be obtained at the Umeme Limited Head Office at Rwenzori House, Plot 1 Lumumba Avenue, Kampala, Uganda and on our website: www.umeme.ug.

The financial statements were approved by the Board of Directors on 20th March 2020, and were signed on its behalf by:


Chairman


Managing Director